

TAX REVIEW COMMISSION 2025-2027

Meeting Minutes, **Tuesday, September 1, 2026**

Virtual Meeting

Meeting was held virtually and video recorded.

Recorded Video Link: <https://youtu.be/v7zeavWffq4>

Tuesday, September 1, 2026

2:00 p.m.

PRESENT:

Commission Members:

Jonathan White (Chair), Judith Chock (Vice-Chair), Jessica Enos, Mark Fukunaga, Stacey Katakura, Jeffrey Ueoka and Jon Yasuda

Staff Members:

Department of Taxation (DOTAX): TRC Executive Director Dr. Baybars Karacaovali (DOTAX Tax Research & Planning Officer)

Attorney General's Office:

Deputy Attorney General Michael Dunford

Guest Panelists:

Assistant Professor Dr. Dylan Moore (UHERO & Department of Economics,
University of Hawai'i at Manoa)
Dr. John Knox

1. CALL TO ORDER

Chair White called the meeting to order at 2:02 p.m. A quorum was present.

Roll Call:

Mr. Jonathan White	Present
Ms. Judith Chock	Present
Ms. Jessica Enos	Present
Mr. Mark Fukunaga	Present
Ms. Stacey Katakura	Present
Mr. Jeffrey Ueoka	Present

Mr. Jon Yasuda

Present

Mr. Ueoka joined late and confirmed he was present and alone.

2. COMMUNICATIONS TO THE COMMISSION AND PUBLIC COMMENT

Chair White asked if there was any communication to the Tax Review Commission (TRC).

Dr. Karacaovali said there was no written communication received and invited public to come forward using the chat/Q&A function over Zoom. Devin Thomas, Director of Tax & Budget Policy from Hawai'i Appleseed Center for Law & Economic Justice and also representing the Hawai'i Tax Fairness Coalition had a public comment to provide. Mr. Thomas indicated that they could be a resource for TRC for tax related research and stated their focus to be making Hawaii's taxes more equitable.

Chair White allowed more time for comments from the public, no other comments were received from the public.

3. MINUTES OF THE MEETING OF AUGUST 11, 2026

Chair White asked the Commission if there were any changes to the August 11, 2026, minutes.

Chair White asked if there were no objections, the minutes would be approved by acclamation.

There were no objections, so the minutes got approved.

DISCUSSION OF FOLLOW-UP CONTACT WITH SENATE WAYS AND MEANS AND HOUSE FINANCE COMMITTEES:

Chair White asked the commission if there was any follow-up on contacts with Ways and Means and House Finance committee.

Vice-Chair Chock stated that she sent a two-page summary of updates the previous week to Senator Dela Cruz and Scott Fuji but has not heard back. Based on Vice-Chair Chock's two-page summary, Chair White also sent his edited version of updates to House Finance Committee.

UPDATE FROM THE EVALUATION COMMITTEE REGARDING THE HIRING OF CONSULTANTS AND PROCEDURAL MATTERS, IF ANY:

Chair White asked if there were any updates from the committee regarding the hiring of consultants.

Dr. Karacaovali informed the commission that a Memorandum of Agreement has been signed by all parties and it is waiting for Chair White's signature only.

Chair White deferred discussion of engaging UHERO for the TRC research to after Dr. Dylan Moore's (UHERO) presentation

PRESENTATION BY DR. DYLAN MOORE REGARDING THE UNIVERSITY OF HAWAII ECONOMIC RESEARCH ORGANIZATION (UHERO) TRC PROJECT INTERIM FINDINGS:

1. Overview of Analysis

Dr. Dylan Moore presented an in-depth cost-benefit analysis of the Hawaii Residential Renewable Energy Tax Credit, focusing primarily on behavioral responses, benefit allocation, and carbon reduction impacts. He noted the central analytical challenge: determining how many additional households install solar due solely to the tax credit.

2. Assumptions About Additional Installations

- Base assumption: For every 100 households that would install solar without the credit, 45 additional households install because of the credit.
- This assumption is derived from academic literature and elasticity estimates from mainland studies.
- Dr. Moore noted this figure may be too high for Hawaii, due to the already high penetration of rooftop solar, removal of the federal credit, and remaining households likely facing higher barriers.

3. Benefit Distribution

Dr. Moore explained the difference in valuing benefits for:

- Households who would have installed anyway
- Households induced to install because of the credit

Key estimates per dollar of state expenditure:

- \$0.56 benefits to households who would have installed anyway
 - \$0.13 benefits to newly encouraged households
 - \$0.16 captured by installers via higher prices or wages
- Total: \$0.84 in local private benefits per dollar spent.

4. Environmental Benefits

- Major benefits arise from reduced carbon emissions.

- Using HECO emissions data and EPA's social cost of carbon, Dylan estimates \$1.70 in global environmental benefits for each \$1 spent.
- Most of these benefits accrue outside Hawaii (global climate impacts).
- Under Hawaii-only benefit accounting, benefits are closer to \$0.71 per dollar.
- If HECO successfully decarbonizes the grid, emissions-related benefits drop (e.g., to ~\$0.97).

5. Other Externalities

- Local air quality benefits appear relatively small due to geographic dispersion of emissions.
- Impacts on consumer rates or HECO profits could create additional costs (estimated ~\$0.13 per dollar spent).
- Discussion of how similar benefit/cost dynamics appear in other credits (e.g., Earned Income Tax Credit, film tax credits).

6. Sensitivity and Elasticity Scenarios

Dr. Moore displayed graphs illustrating how assumed demand elasticity affects total benefits.

Key point: higher behavioral response → more global benefits, while lower response → resembles a direct transfer to residents.

Estimated realistic range may be closer to 20 additional installations per 100 baseline installers, rather than 45.

7. Broader Policy Context

- Tax credits should be compared against alternative policies pursuing the same objective (e.g., utility-scale solar, potential regulatory or tax changes).
- Some alternatives may offer greater carbon-reduction efficiency.
- Issues of who benefits (higher-income households tend to capture most solar credit benefits).

Dr. Moore's Presentation slides are available at the Tax Review Commission website:

<https://files.hawaii.gov/tax/stats/trc/docs2025/2026-09-01-Solar-credit-dollar-by-dollar.pdf>

TRC DISCUSSION FOLLOWING PRESENTATION:

Commissioners raised several questions regarding:

- Sophistication of the analysis and potential for similar frameworks to be used during the legislative process.
- Difficulty of performing detailed analyses for every tax credit due to resource constraints.
- DBEDT's new statutory responsibility (from the 2026 Legislature) to evaluate tax credits and GET exemptions; resource challenges for doing so.
- Potential future UHERO collaboration supporting DBEDT's evaluations.

Mark Fukunaga and Jonathan White discussed the feasibility of developing a simpler, more intuitive, non-empirical framework that policymakers could apply quickly during legislative sessions. Dr. Moore agreed that qualitative versions of the framework could help but emphasized limitations without formal analysis.

VOTE TO ENGAGE UHERO UNDER CONTRACT:

Jonathan White initiated a motion to approve UHERO's contractual engagement (not to exceed \$150,000) to complete the analytic work previously discussed.

Roll call vote: All commissioners voted "aye."

Motion passed unanimously. Chair will sign the contract following the meeting.

BREAK:

Chair White called for a brief break at approximately 3:24 PM and asked each Commission member to turn off their microphones, turn off their cameras, and avoid discussing any TRC business during the break.

Commission members returned from their break at 3:32pm to resume the meeting.

DISCUSSION OF COMMISSION WORK ITEMS:

1. Retirement Income Topic

Chair Jonathan White summarized his written draft documenting compliance concerns with Schedule J and interaction with Form N-11.

Key points discussed:

- Schedule J under-utilization, compliance problems, and absent references in N-11 instructions.
- Possible improvements, including developing data fields, simplifying calculations, or establishing safe harbor methods.
- Further review deferred until commissioners can read the draft.

2. Single Sales Factor Apportionment

Chair White presented a preliminary write-up advocating moving Hawaii's corporate income tax apportionment to single-sales-factor.

Points included:

- Aligning Hawaii with ~34 other states already using SSF.
 - Economic growth considerations; eliminating disincentives to hire or invest locally.
 - Prior Hawaii internal modeling suggested a potential revenue gain.
- General commissioner reaction was supportive; no objections raised.

3. Other Items

Future topics flagged for later meetings:

- 1031 clawback (Jessica Enos may take up after October 15)
- Conveyance tax—controlling interests (Jonathan White will prepare background)
- Estate tax modernization
- Voluntary Disclosure Agreement (VDA) program reform

DISCUSSION ON THE NEXT MEETING AGENDA AND SCHEDULING THE NEXT MEETING

Next scheduled meeting remains September 18, 2026, at 2:00pm.

An additional meeting was discussed; commissioners agreed on September 29, 2026, at 2:00pm as a workable date given tax season constraints. Both will be virtual meetings over Zoom.

Upcoming agenda will include:

- Presentation by Council on State Taxation (COST) on regressivity and related topics.
- Preliminary presentation from Dr. John Knox on tourism taxation.

ADJOURNMENT:

Chair White adjourned the meeting at 3:52 p.m.